more favorable image to sup-plant the existing one. Nevertheless, as pleasing earnings mount upward, sooner or later this happens.

Fortunate holders—those who don't sell out as such a stock starts to rise—then benefit from the phenomenon that provides the greatest reward in relation to the risk involved the stock market can produce. This is the dramatic improvement in price that results from the com-bined effect of both a steady improvement in per-share earnings and a sharp, simultaneous increase in the price-earnings ratio. As the financial community quite correctly discovers that the fundamentals of the com-pany (now its new image) have much more investment worth than had been recognized when the old image was in effect, the resulting increase in the price-earnings ratio is frequently an even more important factor in the increased price of the stock than the actual increase in per-share earnings that accompanies it. This is precisely what happened in our G-company example.

We are now in a position to begin to get a true perspective on the degree of conservatism—that is, of basic risk in any investment. On the lowest end of the risk scale and most suitable for wise investment is the company that measures quite high in regard to the first three dimensions but currently is appraised by the financial community as less worthy, and therefore has a lower price-earnings ratio, than these fundamental facts warrant. Next least risky and usually quite suitable for intelligent investment is the company rating quite high in regard to the first three dimensions and having an image and therefore a price-earnings ratio reasonably in line with these fundamentals. This is because such a company will continue to grow if it truly has these attributes. Next least risky and, in my opinion, usually suitable for retention by conservative investors who own them but not for fresh purchase with new funds are companies that are equally strong in regard to the first three dimensions but, because these qualities have become almost legendary in the financial community, have an appraisal or price-earnings ratio higher than is warranted by even the strong fundamentals.

In my opinion there are important reasons such stocks should usu-ally be retained, even though their prices seem too high: If the fundamentals are genuinely strong, these companies will in time increase earnings not only enough to justify present prices but to justify considerably higher prices. Meanwhile, the number of truly attractive companies in regard to the first